

Investment Thesis & Recommendation

Intel represents one of the market's most closely watched turnaround stories. Despite generating significantly lower profitability than its semiconductor peers, the company continues to command a valuation that reflects substantial expectations for future earnings recovery, margin expansion, and cash flow improvement. As a result, the investment case is less dependent on Intel's current financial performance and more dependent on management's ability to successfully execute its long-term transformation strategy.

The financial analysis revealed that Intel's recent challenges are not primarily driven by collapsing demand or excessive operating expenses. Revenue appears to have stabilized following the sharp declines experienced between 2022 and 2024. SG&A expenses have remained relatively controlled and capital expenditure intensity has begun to moderate. More importantly, segment level analysis demonstrated that Intel's core businesses remain profitable and relatively stable. Client Computing Group continues to generate substantial operating income, while Data Center & AI has shown encouraging revenue growth and profitability improvements as demand for AI infrastructure continues to expand.

The analysis identified Intel Foundry as the primary source of profitability pressure and the most important driver of the investment thesis. While Foundry remains deeply unprofitable, recent results suggest that losses may be beginning to moderate. Operating losses improved from approximately \$13.3 billion in 2024 to \$10.3 billion in 2025, indicating that Intel's manufacturing investments may be moving closer to a point where utilization and scale can begin supporting improved economics. Although significant execution risk remains, this trend provides some evidence that the turnaround strategy is progressing.

The peer analysis reinforced both the opportunities and challenges facing the company. Compared to Nvidia, AMD, and TSMC, Intel currently operates with substantially lower gross margins, operating margins, and free cash flow margins. Despite this weaker profitability profile, Intel trades at a forward P/E ratio of approximately 117.3x. This suggests that investors are valuing Intel based largely on expectations of future earnings recovery rather than current operating performance. At the same time, Intel trades at lower EV/Sales and Price-to-Book multiples than most peers. This indicates that investors remain somewhat cautious regarding the company's ability to fully execute its turnaround strategy.

The DCF valuation further highlighted the importance of future execution. Under reasonable assumptions for revenue growth, margin expansion, and capital intensity, the probability-weighted valuation produced an intrinsic value below the current market price. Even the Base Case assumes meaningful improvements in revenue growth and operating margins through 2030, reflecting stabilization in Intel's core businesses and continued progress within Foundry. The Bull Case requires substantial operating margin expansion, stronger revenue growth, and successful Foundry execution. Collectively, these results suggest that the current share price already reflects a meaningful portion of the expected turnaround.

Importantly, the valuation results should not be interpreted as evidence that Intel's turnaround will fail. Rather, they suggest that investors are currently pricing in a relatively optimistic outcome. The central investment question is therefore not whether Intel can stabilize its business, but whether management can improve Foundry economics, attract third-party customers, increase manufacturing utilization, and generate the level of profitability improvement implied by current market expectations.

Investment Recommendation: Hold / Neutral

Based on the analyses, a **Hold / Neutral** recommendation appears most appropriate. Intel has demonstrated several encouraging signs, including revenue stabilization, improving Data Center & AI performance, moderating Foundry losses, and a gradual improvement in the overall business trajectory. However, significant uncertainty remains surrounding the ultimate profitability of Intel Foundry and the returns generated by the company's substantial manufacturing investments.

While a successful turnaround could create meaningful long-term value for shareholders, much of that potential appears to be reflected in current market expectations. As a result, the risk-reward profile appears relatively balanced at present. Existing shareholders may benefit if management successfully executes its Foundry strategy and delivers sustained margin expansion while prospective investors may wish to wait for additional evidence of profitability improvement before establishing a larger position. Ultimately, Intel remains a company in transition. The long-term investment outcome will likely depend on whether Foundry evolves from the company's largest source of margin pressure into a meaningful driver of future growth and profitability.